

THE CUSTOMER YOU CANNOT AFFORD TO LOSE

A CUSTOMER-CONCENTRATION AND CASH-FLOW FRAMEWORK FOR SMEs

One big customer can carry your business and quietly run it at the same time. When a single client is a large slice of your sales, the question is no longer just whether they will pay. It is how much of your business now leans on one customer you cannot easily replace.

SELL	FUND	DELIVER	WAIT	COLLECT
Customer order accepted	Stock, labour and VAT timing carried	Goods or services supplied	Terms and disputes run their course	Cash reaches the bank

CUSTOMER CONCENTRATION LENS

Weigh the customer up before you commit margin, cash or a credit limit.

MARGIN	TIMING	EXPOSURE	CONCENTRATION
Profit left after delivery, finance and rework	How long they really take to pay, not the terms on paper	The most they owe you before they pay	How much rides on one customer or group

AI can help spot payment patterns and test what-if scenarios; the final read still comes from your books, your bank statement and your judgement.

AI can help you measure how much rides on one customer and sanity-check your payment assumptions. It does not replace your records, the conversation with the customer, or the final call.

00 EXECUTIVE VIEW

Your biggest customer is the one you can least afford to misread

Your biggest customer can look like the strongest part of the business and be its biggest single risk. The danger is rarely one unpaid bill. It is that too much of your sales, profit, capacity and cash now sit with one relationship, so a late payment, a squeeze on price, or losing the contract hurts far more than the order book suggests.

The same dependence bites in two ways. The customer is too big to lose, so you put up with longer terms, discounts and arguments you would never accept from anyone else. And they are too big to carry, so one late payment drags your whole bank balance to its lowest point. In a country where most SMEs are already paid late, a big customer does not just add risk in line with its size. It piles it all in one place.

THE DECISION	CASH GAP	CASH LOW POINT	BUFFER
Serve, renegotiate, re-price, cap, pause or turn down the exposure.	The most cash tied up before the customer pays.	The lowest your bank balance is set to drop while they still owe you.	How much room you have left if they pay late, dispute, or pay short.

WHAT THE REVIEW SHOULD ESTABLISH

- Whether the terms you agreed match how the customer actually pays.
- Whether the customer is still worth it once you count finance costs, admin time, credit notes, rework and the discounts you throw in.
- Whether leaning on one customer or group is using up capacity you need elsewhere.
- Whether you have made a real decision about the payment risk — charged for it, capped it, insured it, secured it, or knowingly accepted it — rather than just carrying it by default.

USEFUL DISTINCTION	MANAGEMENT IMPLICATION
One overdue invoice is a chasing problem. A customer too big to lose and too slow to pay is a dependence problem.	This belongs in your management and cash review, not just on the overdue list at month-end.



01 CONCENTRATION: THE FINANCIAL LANGUAGE

These are not accounting buzzwords. They describe how one big customer can either strengthen your business or quietly turn you into a supplier that funds them and dances to their tune.

Do not guess how dependent you are — work it out. For each customer, look at three things: what slice of your sales they are, what slice of your profit they are once you have covered the cost of serving them, and how much they owe you right now. If one customer is more than about a tenth of your sales, keep an eye on them. If they are a fifth or more — or your five biggest together are more than half the business — that is a built-in risk you should check every month, not carry around in your head.

STATED TERMS The payment terms you put on the invoice or agreed in the contract.	ACTUAL DAYS TO PAY How many days they really take, from invoice to money in the bank, going on past history.
CUSTOMER EXPOSURE Everything they owe you: current, overdue, plus work you have committed to but not invoiced yet.	FUNDING COST What it costs you to carry that money: through the overdraft, your suppliers, paying late, or your own cash.
DISPUTE DRAG Invoices held up by paperwork, price arguments, missing delivery proof, credit notes or sign-off chains.	CONCENTRATION RISK Leaning on one customer, group or sector for a big share of your sales or profit.

THE FINANCIAL SEQUENCE

COMMIT	SUPPLY	INVOICE	WAIT	COLLECT
Credit and supply agreed	Costs and capacity used	Revenue recorded	Terms and disputes mature	Cash reaches bank

It all comes down to timing: when your cash goes out, when the customer's cash comes back, and how much uncertainty you can carry while their balance is still owing.

02 WHERE CONCENTRATION HITS CASH

With a big customer, the gap between invoicing and getting paid gets wider

Your overdue list shows what is unpaid. It does not show how much of the whole business is riding on one account, what you have already spent to serve them, or how often that one customer misses the date they promised while everyone waits.

Size also shifts the power. A customer that knows it is central can dictate the terms, stretch payment from 30 days out towards the 90 to 150 days that is common when you supply big buyers, and use a small dispute as an excuse to hold the whole balance. You fund that gap from your own overdraft and your suppliers, so the cost of the relationship hits your bank balance long before it ever shows up as a bad debt.

INVOICE DATE	DUE DATE	PROMISED DATE	ACTUAL DATE	LOW POINT
Accounting record	Contractual promise	Collection conversation	Bank receipt	Cash consequence

THE VISIBLE PROBLEM	THE HIDDEN PROBLEM
What they owe you drifts into 60, 90 or 120 days. You start chasing invoices and making excuses to your suppliers.	Meanwhile you have already paid for stock, wages, freight, admin, VAT and overheads while you wait to get paid.

FINANCIAL IMPLICATIONS

- You can still be making a profit on paper while the cash in the bank gets tight.
- A big customer can crowd out smaller ones that pay faster, spread your risk and tie up less cash.
- Supplier credit can hide the problem until a key supplier shortens your terms or wants paying.
- The cash you need to fund one customer can be more than a month's profit, even when they eventually pay in full.

03 WORKED ILLUSTRATION

A profitable customer that is also half the business

The figures below are an example and leave out VAT to keep it simple. Say your total sales are about R1,500,000 a month, so this one customer is roughly half of everything you sell. They are not a bad customer. The problem is the money they tie up and how much of the business leans on them, because of their size and how they pay.

ITEM	EXAMPLE AMOUNT / TIMING
Monthly sales to one customer	R750,000
Direct cost at 76%	(R570,000)
Profit before finance and rework costs	R180,000
When you pay your suppliers	30 days
Terms the customer agreed	60 days
How they actually pay	85 days
Roughly what they owe you at 85 days	R2,125,000
Less what your suppliers fund for 30 days	(R570,000)
Roughly the cash you have to find	R1,555,000

THE UNCOMFORTABLE CONCLUSION One customer that is half the business can tie up more than eight months of the profit they bring in, before you have even thought about overheads, VAT, tax dates and the rest of the business.	IF PAYMENT SLIPS FURTHER Another 30 days' delay adds roughly R750,000 more tied up in a single customer. That is a decision about dependence and cash, not just a chat about collections.
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MANAGEMENT QUESTION

Is this customer important, profitable and reliable enough to be worth both the cash they tie up and how much the business now depends on them?
Read these numbers as dependence, not just late payment. The amount tied up is big because the customer is big: about half your sales, funded for the best part of three months. Split the same sales across five customers on the same terms and the dip is shallower, one late payment will not sink you, and losing any single client is a knock rather than a threat to the whole business.



04 THE CONCENTRATION REVIEW THAT MATTERS

Your overdue list will not show how dependent you have become

A good review ties the list of who owes you to your profit, your operations and your cash forecast. It shows who is late, who is disputing, who is expensive to serve, and, above all, how much of the business would be exposed if one big customer paid late or walked away.

Do it every month and put numbers to it. Rank customers by their share of your sales and of your profit, show how much each of your top one and top five owe you and the worst case for your cash, and set a limit — signed off at the top — that supply is not allowed to quietly blow through. The point is not to punish a good customer; it is to make sure a growing dependence is a choice you have made on purpose.

REVIEW AREA	QUESTION MANAGEMENT SHOULD ANSWER
Actual days to pay	Does the customer normally pay as agreed, or only after repeated follow-up?
Open exposure by week	What amount is at risk before the next payroll, VAT, supplier or funding date?
Margin by customer	Is the customer still worth it once you count delivery, rework, discounts and admin time?
Dispute pattern	Are the delays down to missing order numbers, delivery proof, price arguments or sign-offs?
Credit limit discipline	Are you still supplying because the customer matters, or because nobody actually stopped it?
Concentration	How much of your sales, profit and money owed sits with one customer or group?

WHAT GOOD LOOKS LIKE	WHAT WEAK LOOKS LIKE
The weekly review names the biggest exposures, the payments promised, the disputes, who owns the next step, and how low the cash goes if a payment slips.	The overdue list gets looked at after month-end, everyone talks about it in general, and nobody can say which customer could cause the next cash squeeze.



05 ACTIONS BEFORE THE PROBLEM BECOMES NORMAL

The fix is a business decision, not just chasing invoices

Chasing invoices matters, but it is only part of the answer. Once you can see the gap a customer creates, you can change their terms, their price, their limit, when you deliver, or how you escalate — before your bank balance takes the full hit.

Match the action to the size of the customer. For a big one, put a price on the terms and cap what they can owe you first, deliver in stages so you are never carrying the full cost at once, and treat winning other customers as the real fix. Every bit of sales you move to a second or third customer cuts the dependence that makes the exposure dangerous.

KEEP	PRICE	LIMIT	STAGE	PAUSE	EXIT
Accept and monitor	Charge for the terms	Cap exposure	Deliver in milestones	Stop until paid	Turn down bad risk

PRACTICAL LEVERS

- 01 DEPOSIT OR MILESTONE BILLING** Get some cash in before you have paid to deliver the whole job.
- 02 CREDIT LIMITS** Cap what a customer can owe you, based on how they actually pay, not just how big they are.
- 03 PRICING FOR TERMS** Long terms, extra admin and constant delays should not be priced the same as a cash sale.
- 04 DISPUTE PREVENTION** Sort out the order number, delivery proof and sign-offs before you invoice, not after.
- 05 SUPPLY DISCIPLINE** When a customer goes over their limit, stop treating keep supplying as automatic.
- 06 CUSTOMER MIX** Keep room for other customers and work to depend less on any single one.

OWNER JUDGEMENT Not every slow payer should be dropped; some customers really matter. The point is to know what they cost you and choose on purpose.	DECISION RECORD When a lot is at stake, write down the limit you have set, the terms, who is on it, and when you will review it.
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06 AI-ASSISTED CONCENTRATION REVIEW

AI can prepare the questions. It cannot make the credit decision.

AI helps most when your books are already reasonable: invoice dates, customer names, due dates, payments, credit notes, delivery records and collection notes. It can sort the evidence fast, but your books and your bank statement are still what count.

Used well, it turns a messy set of records into a clear picture in minutes: how much of your sales and profit each customer is, who is slowly taking longer to pay, and how low your cash would go if your biggest customer slips or leaves. Keep the data to a minimum and strip out anything sensitive, and remember the answer is a starting point for the conversation and the decision, never a substitute for either.

USEFUL AI TASKS	CONTROLS REQUIRED
Measure how much of your sales and profit each customer is, sort customers by how long they really take to pay, flag the ones getting slower, and test what happens if your biggest customer pays 30 days late or leaves.	Use as little data as you can, and mask it where possible. Do not upload bank logins, private customer emails or unprotected personal details. Check everything it gives you against your own records.

AI USE	PRACTICAL OUTPUT
Data preparation	Tidy up names, group related customers together, spot duplicate accounts and line up the payment dates.
Pattern review	Point out customers who are slowly taking longer to pay, keep paying short, or rack up credit notes.
Scenario testing	Show how low your cash goes if your three biggest payments slip by 15, 30 or 45 days.
Collection preparation	Draft a call list, a dispute checklist and an escalation note for you to review.
Decision support	Pull together a one-look summary per customer to help you decide: keep, renegotiate, cap, pause or exit.

AI TOUCHPOINT: CONCENTRATION PROMPT

“Using this sales list and payment history, show what share of our sales and profit comes from our biggest customer and our top five. Work out how much each of them owes us, and show how low our cash would go if the biggest one pays 30 days late or we lose them.”



07 THE MANAGEMENT ROUTINE

A weekly review should end in decisions, not descriptions

For most SMEs the problem is not a lack of information. It is that the who-owes-what is looked at too late, without the profit picture, without knowing how low the cash will go, and with no one clearly owning the next step.

Make how much rides on one customer a fixed item in the weekly review, with a name against it. Along with what is due and which promises were missed, say what your single biggest exposure is and what your bank balance does if it moves, so you talk about it while there is still time to act, not after the money is already short.

BEFORE THE REVIEW	IN THE REVIEW	AFTER THE REVIEW
Update what has come in, the promised dates, disputes, credit limits and your 13-week cash forecast.	Focus on the biggest exposures, the missed promises, how low the cash goes, and what to do before the next payroll or supplier run.	Write down who owns it, the action, the deadline, who to escalate to, and any change to supply terms or limits.

THE FIVE QUESTIONS

- 01 WHAT CASH IS DUE THIS WEEK? Name the customers and amounts, not only the total.
- 02 WHICH PROMISES WERE MISSED? Tell the difference between a broken promise and terms you actually agreed to extend.
- 03 WHICH INVOICES ARE DISPUTED? Find what is actually causing it and who can fix it.
- 04 WHAT IS THE CASH LOW POINT IF RECEIPTS MOVE? Look at the bank balance, not just the who-owes-what list.
- 05 WHAT DECISION IS NEEDED? Keep supplying, limit, renegotiate, escalate, pause or stop.

REVIEW DISCIPLINE	PRACTICAL STANDARD
The review should be short enough to run every week and specific enough to change behaviour.	No big overdue amount should sit on the list without a name against it, a next step, and a date you expect the cash.

08 CONCLUSION AND RELATED READING

The biggest customer needs the most deliberate decision

A good customer is not just one that orders often and pays in the end. When it is a big customer, it is one whose profit, payment habits and share of your business still add up for you — the one left carrying the cash and the risk in between.

The customer you cannot afford to lose deserves the most careful decision, not the least attention. Work out what they really bring in, cap what they can tie up, and keep building the rest of your customer base, so the business is carried by its customers, not held hostage by one of them.

THE BOTTOM LINE	THE USEFUL DECISION
More sales from one customer are not always better sales. A customer that grows faster than the rest can weaken the business through dependence and cash strain, even if you never write off a penny.	Once you can see how much rides on one customer and how much is tied up, you can choose on purpose: keep them, price the terms, cap the exposure, win other customers, line up funding, or ease off the dependence.

RELATED CARRON READING

ARTICLE	WHY IT LINKS
Profitable But No Money in the Bank	Why profit does not always become cash, and where the gap usually starts.
The 13-Week Cash Flow Forecast Every SME Should Run	The weekly forecast that makes debtor timing visible before the bank balance is under pressure.
Can Your Business Afford to Grow?	A simple way to decide about cash gaps, capacity and growth.
Revenue Is Vanity, Margin Is Sanity	Why big sales do not make up for thin margins and weak pricing.
Management Accounts That Actually Earn Their Keep	How reporting should support decisions, not merely describe the past.

This report is a practical guide, not advice on a specific customer. AI can help you prepare by measuring how much rides on one customer and testing shaky assumptions, but the final calls on credit, price and supply stay with you.

09 CUSTOMER CONCENTRATION RISK RECORD

A one-page management record

Use this page to record one customer's share of the business, the effect on your cash, and what you are going to do about it. It is a decision record, not just a checklist.

CUSTOMER / GROUP	DECISION OWNER	DATE REVIEWED	NEXT REVIEW

COMMERCIAL IMPORTANCE

What share of your sales and profit is this customer, and why do they matter?

MARGIN CASE

Profit left after delivery, finance, rework, credit notes and discounts.

PAYMENT BEHAVIOUR

How long they really take to pay, versus the terms and the promises made.

CASH EXPOSURE

The most they will owe you, and the week it hits your cash forecast.

DISPUTE / ADMIN CAUSES

Order-number issues, delivery paperwork, sign-offs, pricing, credit notes or mistakes.

DECISION AND CONDITIONS

Keep, price, cap, stage, pause or exit — and the conditions attached.

DECISION OPTIONS Carry on, renegotiate terms, set a credit limit, deliver in stages, pause supply, or exit — on purpose.	NEXT REVIEW Write down who owns it, the action and the review date. Never leave a big exposure without a named next step.
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A decision record is only worth keeping if it shows the trade-offs you weighed up, not just the answer you already wanted.